

September 14, 2026 04:28 PM GMT

Co-Tech Development Corp. | Asia Pacific

Southeast Asia expansion points to longer-term capacity upside

What's new? Co-Tech's board approved the establishment of a subsidiary in Southeast Asia.

Our view: We expect the facility to primarily produce RG-series (advanced RTF) copper foil, mainly used in general servers, switches or LEO satellites. Volume production could begin in 2H28, with monthly capacity exceeding 500 tons. We currently model Co-Tech's RG-series capacity at 1,000 tons by end-2026 and 1,200 tons by end-2027. The Southeast Asia expansion therefore implies upside to our current capacity assumptions, assuming all else remains unchanged, with contribution likely starting in 2H28. We also believe adding RG-series capacity in Southeast Asia could free up existing Taiwan capacity for higher-end HVLP4+ copper foil production. Stay OW.

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Co-Tech Development Corp. (8358.TWO, 8358 TT)				
Greater China Technology Hardware Taiwan				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	NT\$730.00			
Up/downside to price target (%)	41			
Shr price, close (Sep 14, 2026)	NT\$518.00			
52-Week Range	NT\$758.00-196.50			
Sh out, dil, curr (mn)	252			
Mkt cap, curr (mn)	NT\$130,317			
EV, curr (mn)	NT\$129,983			
Avg daily trading value (mn)	NT\$6,612			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.20	9.34	18.59	31.63
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	-	10.40	24.99	42.58
Revenue, net (NT\$ mn)	7,880	11,115	15,849	22,496
EBITDA (NT\$ mn)	1,538	3,027	5,934	10,070
ModelWare net inc (NT \$ mn)	1,063	2,366	4,706	8,009
P/E	66.0	55.4	27.9	16.4
P/BV	9.3	14.0	10.1	7.0
RNOA (%)	19.4	32.7	54.3	76.1
ROE (%)	16.3	31.5	50.1	61.7
EV/EBITDA	45.4	42.8	21.5	12.4
Div yld (%)	0.5	0.4	0.9	1.7
FCF yld ratio (%)**	(0.2)	0.7	2.2	4.2
Leverage (EOP) (%)	(4.4)	(8.5)	(19.3)	(31.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Co-Tech Development Corp. (8358.TWO)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 9.3% (beta of 1.0, equity premium of 8.7% and risk-free rate of 1%), medium-term growth rate of 13%, and terminal growth rate of 3%.

Risks to Upside

- Stronger AI demand
- Slower-than-expected capacity expansion by competitors
- Faster-than-expected material upgrades
- Slower-than-expected CPO adoption

Risks to Downside

- Weaker AI demand
- Faster-than-expected capacity expansion by competitors
- Slower-than-expected material upgrades
- Faster-than-expected CPO adoption

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Co-Tech Development Corp. (8358.TWO) - As of 09/14/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/14/26 : 0/I

Price Target History: 9/14/26 : 730

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/14/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.24
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb171.81
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.32
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.48
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.96
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb401.90
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$954.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.06
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.36
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.16
Largan Precision (3008.TW)	E (09/10/2026)	NT\$5,995.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.27
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.18
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.41
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$57.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb52.78
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.99
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb62.69
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$41.20
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb51.86
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$66.95
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb256.96
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.73
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.16
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb459.66
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$176.00

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.94
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.46
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb873.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,070.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$22.60
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb31.95
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,875.00
Advantech (2395.TW)	O (01/20/2021)	NT\$670.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,270.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$28.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,305.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,955.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.30
Chenbro (8210.TW)	O (07/23/2025)	NT\$886.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,140.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,620.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$145.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$61.50
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,165.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$323.50
Innolux (3481.TW)	E (04/07/2025)	NT\$47.65
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$11,990.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb33.27
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$277.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.67
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.54
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb189.87
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$934.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$205.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.90
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$518.00
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,345.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.28
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb61.57
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,020.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$248.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb68.82
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$46.16
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,745.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$32.14
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,590.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,055.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$332.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb146.00
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb389.13
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,410.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$970.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$535.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$181.00

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,270.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$545.00
Zhen Ding (4958.TW)	++	NT\$489.50

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